

owned almost fifty percent of our firm, had its headquarters there.)

Most specialist firms tend to be very small, fiercely independent, turf-protective, and quite profitable. They do virtually nothing to build a public identity off the trading floor, but are well known inside the securities industry, as are the equities or options assigned to them by the Exchange.

The specialist's role originated long ago, with the explosion of stock trading during the post-Civil War speculative frenzy. Prior to 1869, the vice-president of the Curb Exchange would read aloud to the throng of brokers gathered around him the entire list of New York Stock Exchange stocks being traded that day, reeling off current bids (the highest price anyone was willing to pay at that moment) and asked price (the lowest at which anyone was willing to sell). This he did three times during trading hours. Lacking today's electronic tote boards and fast-moving "tapes," a broker with orders to fill might have had to wait for hours for a particular stock's name to be called. It was one thing if the broker had been ordered to buy at the going price (market order), but during a period of volatility, many investors unwilling to risk sharp price changes in the time between placement and execution of an order imposed upper and lower limits on their buy-sell orders. With more and more new issues to trade, no broker had the time to hang around, instead handing such "limit orders" to a new breed of sub-broker—soon to be referred to as "the specialist." To make it worth both their while, the floor broker would split his commissions with the specialist. Naturally, as new stocks were introduced, the role of specialist grew in importance—and power—and soon assumed the role of a market maker. Once the Exchange moved indoors in 1921, instead of mingling at curbside the specialists began congregating at set locations, or "trading posts," forcing the trading partners to come to them.

Today's specialists actually have to wear four different hats in order to accomplish their market-making functions—